

A Body Blow

Suspension of UPI services has left several crypto exchanges in the lurch

BY TEENA JAIN KAUSHAL

► **WHEN THE WORLD'S** second-largest crypto exchange, US-based Coinbase, announced its entry into India at a big bang event in Bengaluru on April 7, it was definitely not prepared for what lay ahead. Soon after the company declared that it would allow users to purchase cryptocurrencies using Unified Payments Interface (UPI)—an instant real-time payment system that facilitates inter-bank transactions using a mobile phone—it came under regulatory scrutiny.

The National Payments Corporation of India (NPCI), an umbrella organisation for operating retail payments and settlement systems in India, which oversees UPI, released an official statement clarifying that “we are not aware of any crypto exchange using UPI”. This was a strange statement, because many exchanges such as WazirX and CoinSwitch Kuber were already offering UPI services through mobile wallets such as MobiKwik. After the scrutiny, Coinbase had to disable the option of buying cryptocurrencies using UPI.

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The chaos, however, did not stop there. In the following days, UPI services for other exchanges also got disabled, following which trading volumes dipped between 60 per cent and 90 per cent on many leading exchanges. According to the website CoinGecko, trading volume on WazirX dipped to \$46,801,290 on April 8, 2022, against the comparative volume of \$157,468,430 on March 31, 2022. WazirX, CoinDCX and Giottus did not reply to queries.

Incidentally, two people familiar with the matter told *Business Today* that, recently, MobiKwik's application for payment aggregator Zaakpay, which is used to power the wallet, has also been rejected by the RBI. MobiKwik is one of the popular e-wallet services on cryptocurrency exchanges. MobiKwik declined to comment on the development. The sudden suspension of UPI services has left the exchanges in a lurch. Exchanges are now resorting to peer-to-peer transfer of cryptos in the absence of banking services.

The experience, however, has not been uniform across the board. There are some exchanges such as Unocoin where UPI disruption has not created much of an impact. “We have not seen any decline in turnover due to UPI disruption as there are other modes of payment such as IMPS, NEFT and RTGS through which users can continue to deposit and withdraw without any disruption in services,” says Sathvik Vishwanath, Founder and CEO of Unocoin Cryptocurrency Exchange.

Another reason for the decline in turnover has been the imposition of a 30 per cent tax on crypto gains from April

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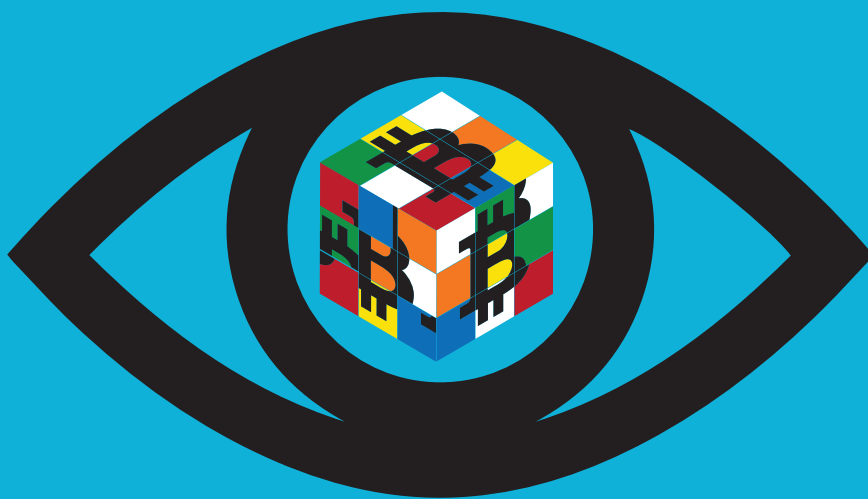


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